IN THE SUPERIOR COURT OF JUDICATURE

IN THE HIGH COURT OF JUSTICE

HELD IN CAPE COAST ON 15TH OCTOBER, 2025

BEFORE HIS LORDSHIP JUSTICE EMMANUEL A. LODOH, J.

CM/RPC/0644/2023

UNISECURITEIS GHANA LIMITED **PLAINTIFF**

(IN OFFICIAL LIQUIDATION)

REGISTRAR-GENERAL'S DEPARTMENT

MINISTRIES

VRS

PREMIER PORTFOLIO LTD **DEFENDANT**

H/NO. 11 SENCHI STREET, AIRPORT

RESIDENTIAL AREA

ACCRA

JUDGMENT

The instant decision will deal with the question whether or not the Plaintiff's action against the Defendant is statute barred. This question was one of the issues arising out of the pleadings.

The background to this ruling is that the Court granted the Defendant's application to determine the issue of limitation as a preliminary issue for trial, which was raised in paragraph 13A of the Defendant's Amended Statement of Defence filed on 10th January, 2025.

The Court agreed with the Defendant that that since the issue of limitation of actions is potentially dispositive of an action, same ought to be determined first. The Court therefore set down the question of limitation of actions as a preliminary issue for trial pursuant to Order 33 rule 5 of the High Court (Civil Procedure) Rules, 2004 (C.I. 47) which provides as follows:

> **5. Where it appears to the Court that the decision of any question or issue arising in any cause or matter and tried separately from the main cause or matter substantially disposes of the cause or matter or renders trial of the main cause or matter unnecessary, it may dismiss the cause or matter or make such other order or give such judgment as may be just.**

Proceedings at Trial

On 3rd June, 2025, the Court determined that the mode of trial for the determination of whether the Plaintiff's action was statute barred shall be by way of affidavit evidence. Accordingly, the Court ordered the parties to file their respective affidavits consequent to this order.

The record will show that the Defendant duly filed their Affidavit on 20th June, 2025. Same was filed by Kwadwo Opoku Okoh, who described himself in paragraph 1 of the affidavit as an officer of the Defendant. The Plaintiff's witness also filed their on 13th July, 2025 and same was filed by Ellen Djan Amoako, a staff member of the Official Liquidator of the Plaintiff entity.

The record further show that at the time of the writing of this decision, none of the parties had applied to cross-examine the other party. Both counsels for the Plaintiff and Defendant filed their legal submissions on the issue on 3rd July, 2025 and 15th July, 2025 respectively.

Background

It is trite learning that limitation of action refers to the statutorily defined time period within which a person must initiate an action before the courts. Thus where a litigant fail to bring an action within statutorily limited time frame, that person may lose the right to pursue the action in court, no matter how valid their claim is.

The purpose of the limitation of actions is well recited in our jurisprudence. Some of the mischief that the limitation of action cures is that it prevents the indefinite threats of litigation hanging over the heads of defendants, particularly in probable scenarios where the evidence required to defend a suit would have been lost as a result of effluxion of time. Thus the limitation on actions ensures that cases are decided when the facts are still fresh and reliable.

In the **Burkett v James [1977] 2 All ER 801 at 815,** Lord Edmund Davies reiterated the reasons for statutory provisions imposing periods of limitation. He said:

> **"…Secondly, the law of limitation is designed to encourage plaintiffs to institute proceedings as soon as it is reasonably possible for them to do so …. Thirdly, the law is intended to ensure that a person may with confidence feel that after a given period he may regard as finally closed an incident which might have led to a claim against him; and it was for this reason that Lord Kenyon described statutes of limitation as statutes of repose"**

Counsel for the Defendant in his written legal submissions referred the Court to the Supreme Court case of **Nana Korkor Ntim v Stephine Ansaa Opare, Civil Appeal Number J4/64/2022** and delivered on 7th December, 2022 that:

> *"Litigation must come to an end therefore where a cause of action accrues to a person and that person fails to take advantage of it, that right must come to an end at a point in time. Therefore, although a plaintiff can bring a cause of action, they lose the right to enforce it through the judicial process if the period that the law provides for such actions has already elapsed. In Ghana, the Limitation Act 1972 (NRCD 54) sets out the limitation periods for most actions. In this case, where a cause of action accrues to a party who fails to enforce his right the action may be said to be barred after the period stated in NRCD 54 has lapsed. In Jean Hanna Assi vrs. Attorney General (Civil Appeal No. J4/17/2016) as follows: "If indeed it is [statute barred], then there is no need to look at the merits of the case since the statute of limitation is a venerable venerable shield that can be used to ward off indolent and piecemeal litigators".*

It is against the backdrop that I am of the considered view that in order to effectively deal with this question, regard must first be had to the pleadings.

Case of the Plaintiff

In having regard to the pleadings, it is pertinent to state that this action was commenced by Writ of Summons issued out of the Registry of the Commercial Court, Accra on 2nd August, 2023 wherein the Plaintiff is seeking the following reliefs:

(a) Recovery of the sum of sixty-three million, three hundred and forty-three thousand, two hundred and twenty-seven Ghana Cedis (GHS63, 343, 227,

being the amount due and owing in respect of various loan facilities and accrued interest thereof as at 8th November, 2019.

(b) Interest on sixty-three million, three hundred and forty-three thousand, two hundred and twenty-seven Ghana Cedis (GHS 63, 343, 227), at the commercial banks' lending rate from 9th November, 2019 till day of final payment.

(c) Cost including legal fees.

(d) Any other relief (s) that this Honourable Court may deem fit.

The gravamen of the Plaintiff's claim as pleaded is that, the Plaintiff entity is currently in official liquidation. That the Plaintiff between the year December, 2013 and October, 2014 granted four individual loan facilities to the Defendant for individual tenors of one (1) year in respect of each facility

The Plaintiff then contended in respect of the status of these loan facilities in paragraphs 7 and 8 of their Statement of Claim as follows:

7. The Plaintiff avers that, the maturity dates for the various facilities elapsed long ago and all attempts to have the Defendant pay off its indebtedness was unsuccessful.
8. The Plaintiff avers, further that, the principal together with the accrued interest on the aforementioned facilities as at 8th November, 2019 amounted to sixty-three million, three hundred and forty-three thousand, two hundred and twenty-seven Ghana Cedis (GHC63, 343, 227) and interest continues to accrue thereon.

The Plaintiff in paragraph 9 of the Statement of Claim then set out their reason for commencing this action as follows:

9. The Plaintiff says that all demands made on the Defendant to pay the original principal amount in addition to the accrued interest over the years have proved futile.

Evaluation of Evidence

As stated earlier, the sole issue for determination in this ruling is whether or not the claim of the Plaintiff against the Defendants is statute barred. It is trite learning that whether or not the claim is statute barred depends on the reliefs being.

It has not been disputed that the applicable statute in this case is the Limitation Act, 1972 (N.R.C.D 54). It is also not disputed that the subject matter of this suit is principally a claim for a recovery of a liquidated debt and therefore the applicable section 4 (1)(b) of NRCD 54 which provides as follows:

4. Actions barred after six years

(1) A person shall not bring an action after the expiration of six years from the date on which the cause of action accrued, in the case of

(b) an action founded on simple contract;

Evaluation of Evidence

It is trite principle of law that he who asserts a fact, which is denied, has the burden to establish the existence of the fact on the balance of probabilities. Therefore since it is the Defendant who is making the affirmative assertion that the Plaintiffs action is time barred, I am of the considered view that the defendant carries the burden of proof on the balance of probabilities and therefore the said onus is on them to discharge, that the Plaintiff's action is statute barred.

The evidence of the Defendant on the issue is contained in paragraphs 10 to 14 of his affidavit in support as follows:

9. That per the Statement of Claim, four loan agreements were purportedly granted sometime in December 2013, March 2014 and October, 2014, each for a period of one year.
10. That the purported debt therefore accrued in December, 2014 with respect to the first loan and March, May and October 2015 with respect to the remaining three loans.
11. That the Plaintiff's licence was revoked in 2019, following which revocation an official liquidator was appointed in 2020.
12. That at the time of the appointment of the official liquidator, the debt had accrued about 5-6 years prior.
13. That the official liquidator continued to be indolent for 3 years making the period after the accrual of the debt come to 8-9 years.
14. That it was not until January, 2023 (almost nine years after the purported loan were due and had accrued), that the Defendant received a letter from the Plaintiff's lawyer demanding an amount of Sixty-three Million Three Hundred and Forty-Three Thousand, Two Hundred and Twenty-Seven Ghana Cedis (GHS63, 343, 227.00) as Defendant's alleged indebtedness to the Plaintiff. Attached and marked "Exhibit 1" is a copy of the letter dated 19th January 2023.

The Plaintiff line of raising the shield is the reliance on the claims made by the Plaintiff in their Statement of Claim and the fact that the Plaintiff in a letter was written to them in 2023.

It is my considered view that the heavy reliance on Plaintiff's own claims by the Defendant to my mind is not fatal in proof of the assertions made by the Defendant. Indeed what better evidence exists than to rely on the express admissions of the conduct of the adverse party.

Therefore in order to understand the case being made for the order sought, I consider it necessary to bifurcate the events leading to the institution of this suit in line certain pleaded events.

The reason for the bifurcation is underscored by my understanding that matters preceding the commencement of liquidation of the Plaintiff must be treated differently from matters arising from when the liquidator took over the Plaintiff or for that matter when liquidation commenced.

Pre-Liquidation

Regarding the matters before the appointment of the Liquidator, the evidence of the Defendant, which they claim to have extracted from the Plaintiff's statement of claim is that the parties entered into various credit agreements spanning between March, 2013 and October, 2014 with a tenure of one year each.

It is also trite law that the limitations periods are calculated from an ascertainable time limit. It was held in the case of **Amoa and Another v Abeka [1976] 1 GLR 441** that:

> **"The object of the Limitation Acts was to limit the periods within which legal proceedings could commence and being a time limiting factor, it had to have a certain or ascertainable starting point".**

The Defendant's deposition in paragraph 12 of their affidavit is reproduced again as follows:

> 12. That at the time of the appointment of the official liquidator, the debt had accrued about 5-6 years prior.

Therefore, applying the principle in the Amoa case (supra) to paragraph 12 of the Defendants affidavit, it is my considered view that the understanding to be hard from the Defendants evidence is that prior to the appointment of the liquidator, the debt had remained outstanding for between 5-6 years.

Post Appointment of Liquidator.

I will now proceed to deal with matters after the commencement of winding up proceedings.

It has not been disputed that it was in August, 2023 that the Liquidator exercised his right to file the present action, even though liquidation commenced in 2020. That is three years after the appointment of the liquidator.

The evidence of the Defendant is that prior to this action they did not acknowledge the debt in writing after the Liquidator communicated same to them. Indeed I accept this evidence as the case, since the Plaintiff also failed to tender any such acknowledgement.

So the question is whether or not time continues to run against the liquidator upon commencement of winding up?

My view is that under NRCD 54 no exception in respect of the freezing of time has been provided for companies in liquidation. Again under our insolvency laws, particularly, the Corporate Insolvency and Restructuring Act, 2020 (Act 21015), no such respite has

been provided where there is an automatic suspension of the limitation periods for claims against or by the liquidator.

The closest thing to suspension of the period of limitation in Act 1015 (CIRA) is contained under section 137 (4) where the period of limitation is suspended during the period between dissolution and restoration of a company.

Date of Accrual of Cause of Action

The vexed question therefore is when the cause of action accrued. Counsel for the Defendant in his legal submissions referred the Court to the case of **MARIAN ASSO AMEDEDJI VS. REV. FATHER G AMPIM TETTEH**, Civil Suit NO. CM/RPC/0475/2017 dated 13th June, 2018 (reported by with citation number Dennislaw [2018]DLHC10128 wherein the learned judge referred to case law and delivered himself regarding the meaning of cause of action as follows:

> *"A cause of action simply is a factual situation the existence of which would entitle a person to obtain from the court a remedy. Not only must there be a cause of action, but that the cause of action must also have accrued to set in motion reckoning of the limitation period. Ampratwum Manuf Co Ltd v D.I.C [2009] SCGLR 692, 694 (holding 1); Letang v Cooper [1965] 1 QB 232 242, 243 CA per Diplock J (as he then was)"*

According to the Defendant the cause of action of the Defendant accrued at the end of each loan tenure, the latest being in 2015 in respect of the October, 2015 credit facility.

It is important at this stage to state that the end of a tenure of contract does not necessarily translate as the time the cause of action accrued. To my mind these are two entirely different legal concepts.

However, it is my considered view that generally in credit agreement with defined tenure for the repayment of the facility, the presumption that the right of action for the recovery of the debt arises immediately upon the breach of the repayment terms.

This presumption will operate against the plaintiff. Accordingly, my view is that the burden shifts to the Plaintiff to show that the period when the cause of action arose did not commence in 2015.

Plaintiff in paragraph 14 and 16 of their affidavit, stated as follows:

> 14. That the principal together with the accrued interest on the aforementioned facilities as at 8th November, 2019 amounted to Sixty-three Million, Three Hundred and Forty-three Thousand, two hundred and Twenty-seven Ghana Cedis (GHS63, 343, 227.00).
>
> And
>
> 16. That the loans facilities advanced to the Applicant were shelved by the Respondent, and no steps were taken by the Respondent or its directors to recover the debts owed when they become due for payment in December 2014, March, May and October 2015.

The understanding to be had from the Plaintiff evidence in paragraph 14 was probably that the right to take up an action and the cause of action accrued in 2019. However this position is defeated or put in conflict when the Plaintiff continued to say that the outstanding debts were due in 2014 and 2015.

Clearly from the showing of the Plaintiff, all the loans procured by the Defendant became due at least by October 2015 and therefore the 2019 date was simply a historical presentation of the status of the Defendant's facility.

It is further deducible from the evidence of the Plaintiff that no written demand was made on the Defendant in 2019, to at least create a probable inference of the cause of action having accrued in 2019. I therefore find that the cause of action accrued in October, 2015. Even though it may be said that in respect of the earlier facilities the cause of action accrued much earlier, per the Plaintiff's own showing.

Conclusion

In conclusion I find that the Defendant has put before the Court evidence to establish that the Plaintiff's action is statute barred, because same was initiated after the limitation period of six years. The Plaintiff action against the Defendant is accordingly hereby dismissed.

Obiter Dicta

In bringing closure to this matter, I would like to state that, it will be a progressive step in our quest to sanitise the insolvency proceedings in Ghana that Ghana's insolvency legal framework to provide for situations where the liquidator can apply to the court for the suspension of the limitation period to give it a wiggle room to appraise itself of records of the company.

This is particularly to prevent a situations were directors of companies delay in furnishing the liquidator the business records of the company.

Cost

In considering whether or not to award cost against the liquidator, it is my considered view that the company is under distress and the liquidator is only performing its statutory duty in the winding up of the company. To my mind therefore it would be unconscionable to impose cost against the liquidator, a situation which will further weaken its ability to pay it creditors.

Emmanuel A. Lodoh, J

(Justice of the High Court)

Lawyers

1. Fred Dotse, Esq. Counsel for Plaintiff
2. Edwin Letsa K. Kpedor, Esq. Counsel for Defendant